PIA3123
THEORIES of DEVELOPMENT

WEEK 2 MODERNIZATION AND DEPENDENCY

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Today's lecture

1. Basic Terms
2. Modernization theory
3. Dependency theory
4. Break
5. Discussion
6. Conclusion

What do these terms mean?

1. First World; Second World; Third World
2. Developed Countries; Developing Countries
3. Global North; Global South

What do these terms mean?

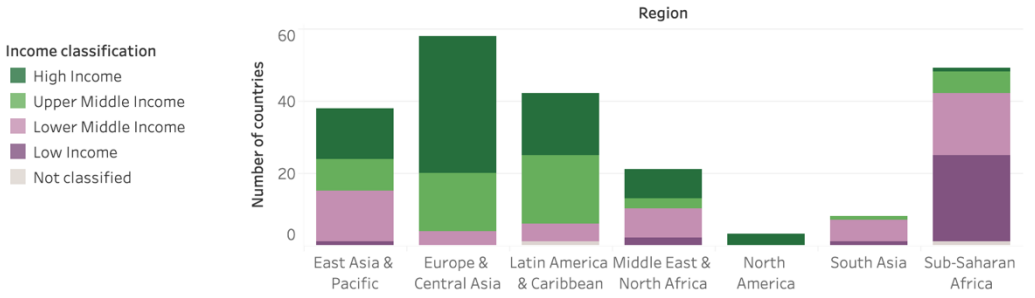
1. First World; Second World; Third World





What do these terms mean?

2. Developed Countries; Developing Countries

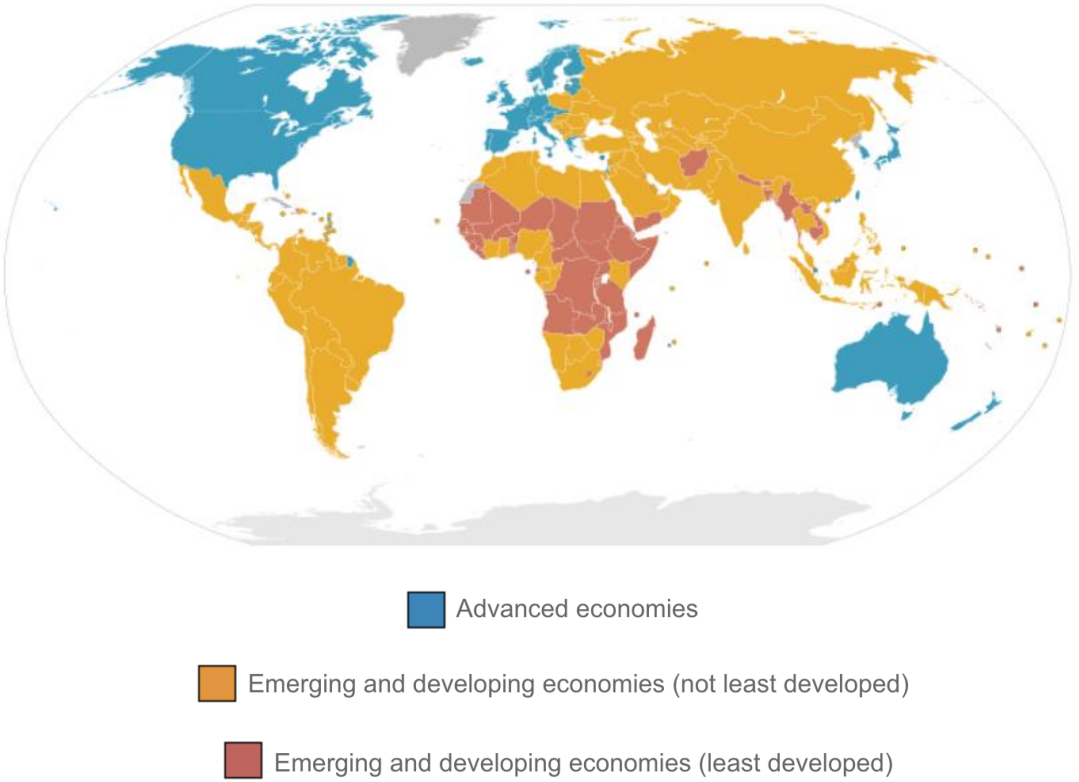




See more: Farias (2019)

What do these terms mean?

3. Global North; Global South



Underdevelopment

Underdevelopment is a fundamental concept in the field of development studies.

In contemporary discourse, nations and regions are frequently labelled as ‘underdeveloped’, yet the exact definition of this term is frequently left implicit.

This is noteworthy because the assigned status significantly influences the types of interventions and remedies pursued.



MODERNIZATION THEORY

South Korea and Development

We are going to watch a short video about South Korea's transformation together. But before watching, ask yourself,

If South Korea can transform so dramatically within a few generations, why haven't all countries followed the same path?

Quick question

How did South Korea change as it became wealthier? What do you think made this transformation possible?

You'll have 5 minutes to think and organize.

Remember to provide your name and student number in your response.

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The Cold War Context

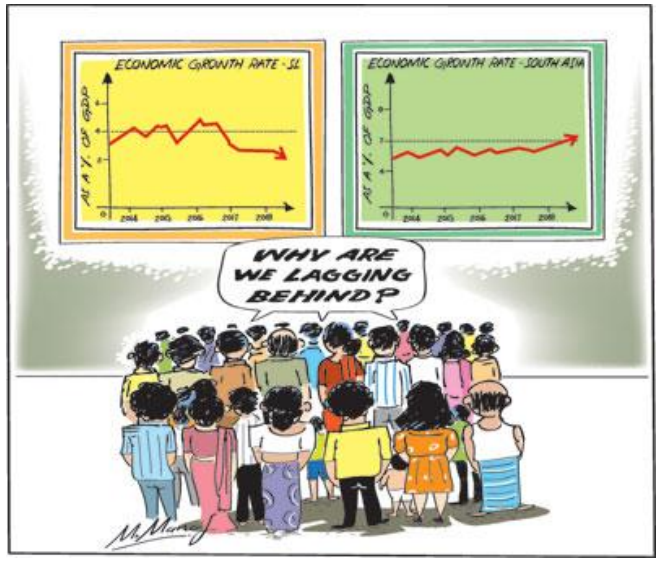
After World War II, many countries in Asia and Africa gained independence. The US and Soviet Union competed for influence in these newly independent states.

Modernization theorists argued that economic growth, industrialization, education and institutional change could move poorer societies toward 'modern' development.

Development aid therefore became connected to a broader Cold War question:

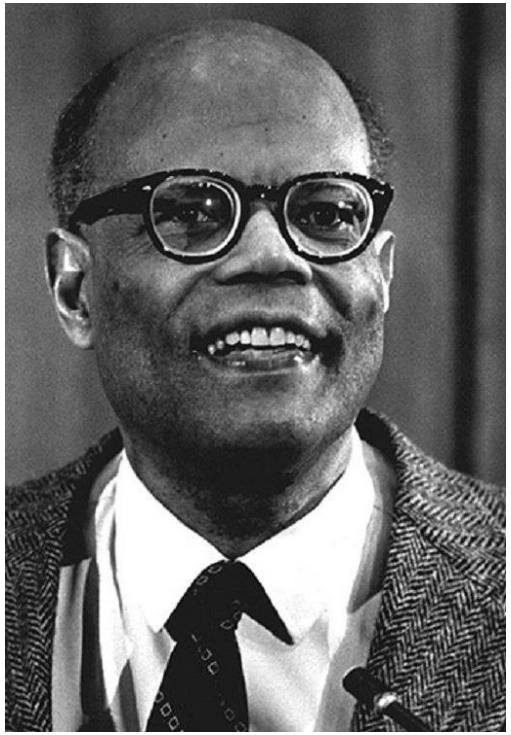
Which path to development would newly independent countries follow?

Modernization Theory



- Has political, economic and social component
- See development as all about progress and growth
- Evolutionary
- See 'tradition' as a block
- Underdevelopment is defined as the political, economic and social differences between the rich and poor countries
- **Development means reduction of these differences through imitation and foreign assistance**

Modernization Theory

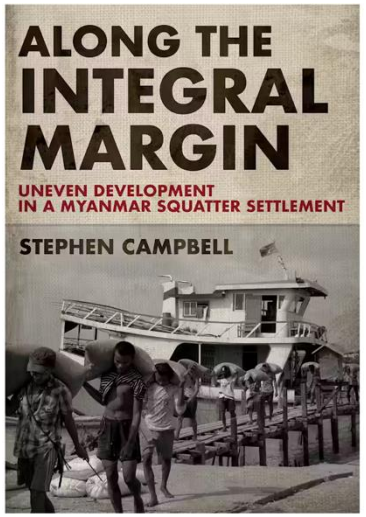


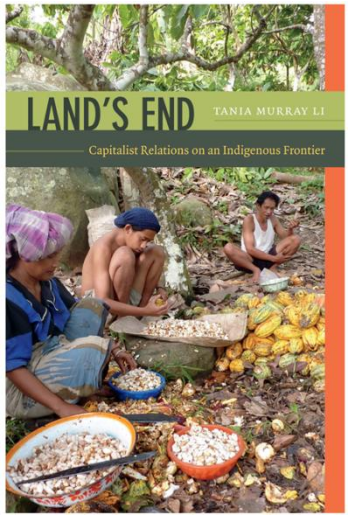
Arthur Lewis



Bert Hoselitz

- **Different authors stress different aspects of the argument in relation to the idea of modernization**
- For critiques of Lewis' dual economy and modernization more broadly, see Campbell (2021) and Li (2014).



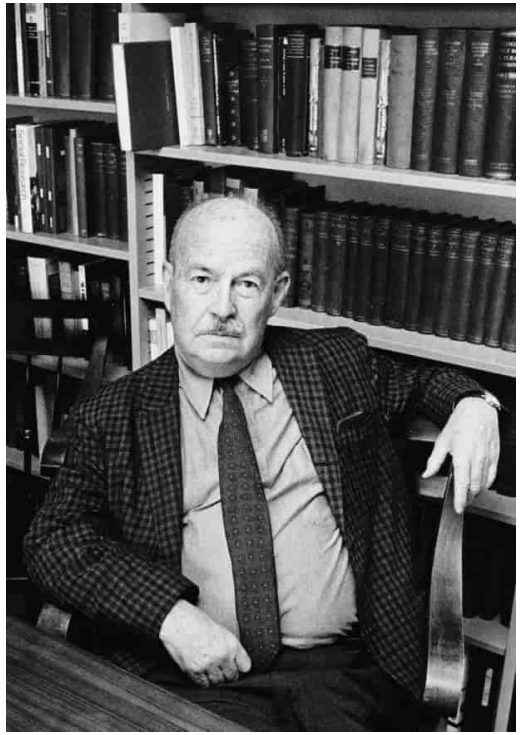


Political Modernization

- Politically modernization theorists did not simply promote liberal democracy
- Concerned with problems of transition (the confluence of the modern and the underdeveloped), representation and participation
- The key is to enhance predictability (in a way)
- Need mechanism of integration, depersonalisation, mediation and moderation to make democracy work

Social Modernization

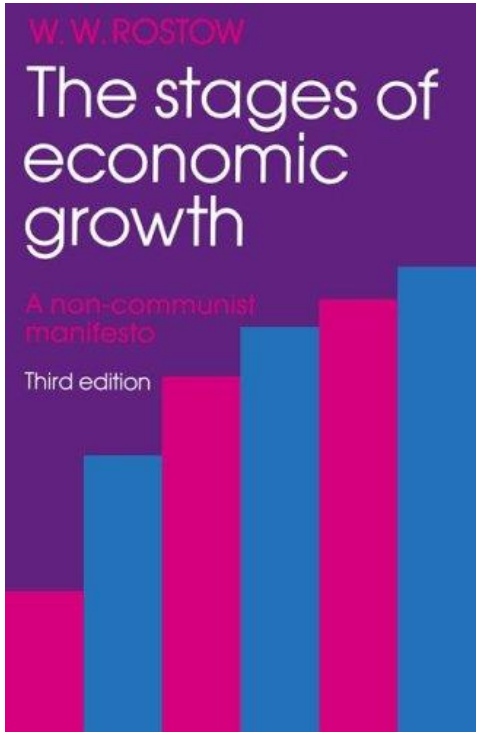
- Third world societies evolve from traditional to modern societies;
- "Evolutionary universals" as stratification, cultural legitimation, bureaucratic organization, money and market complexes, emergence of generalized universalistic norms, and democratic association- critical to evolution that all societies were sure to stumble upon them for survival



Talcott Parsons

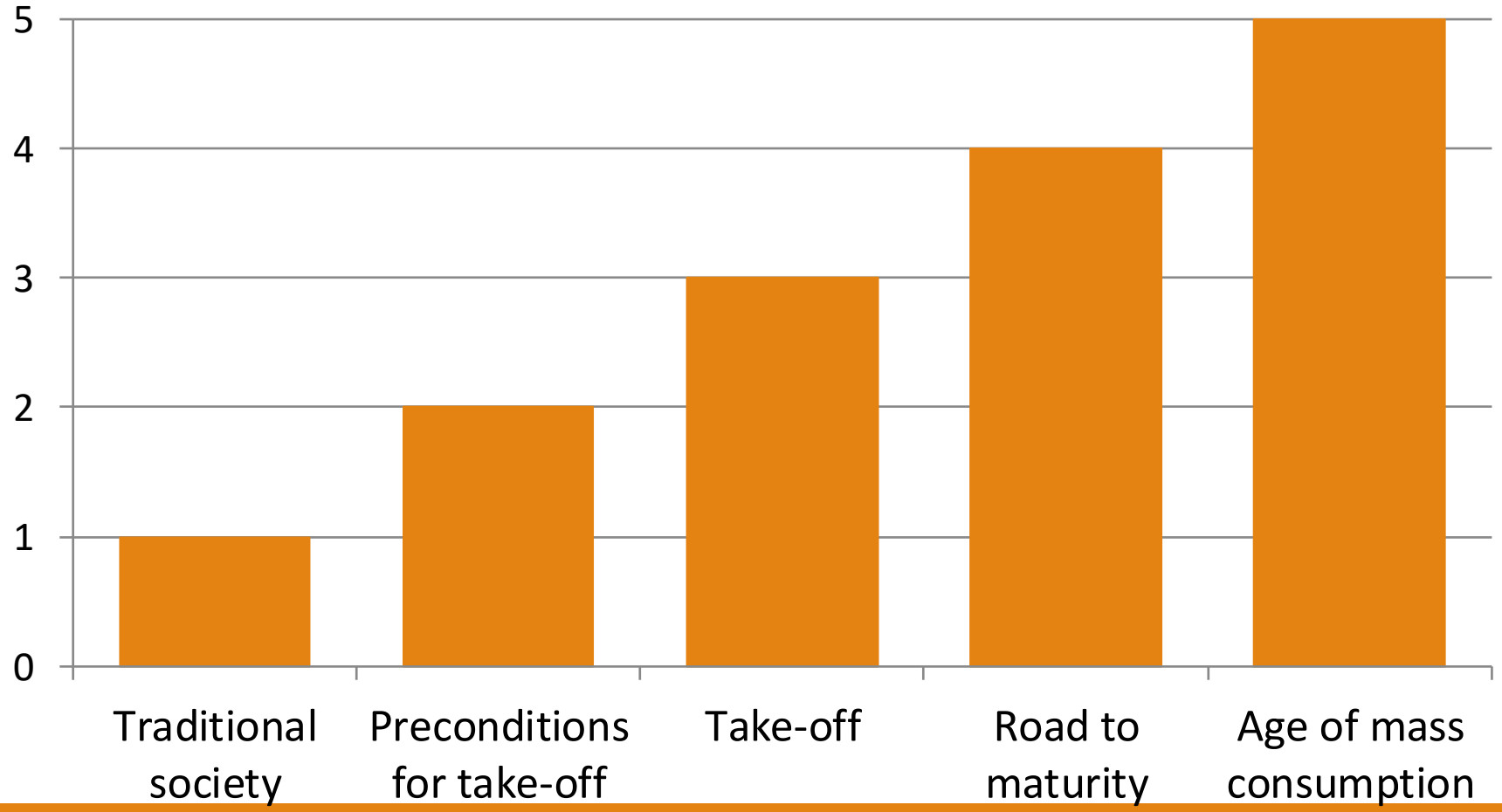
Rostow's Modernization Theory





- Walt Rostow (1960) produced a crude but compelling schema of economic transition
- Development thinker closely linked to policy-makers

Rostow's modernization Theory: The Five Stages of Economic Growth



Rostow's modernization Theory

Traditional Society:

In this stage, societies are characterised by traditional agricultural practices, limited technology, and pre-modern social structures.



Rostow's modernization Theory



Pre-conditions for Take-off:

During this phase, societies experience significant changes, such as urbanisation, industrialisation, and increased education.

There is an increase in demand for raw materials.

There is a shift from traditional to more modern ways of life.

Rostow's modernization Theory



Take-off Stage:

This stage represents a critical turning point where a society begins to experience rapid economic growth and development.

Industrialisation and modern economic sectors expand.

Rostow's modernization Theory



Road to Maturity:

In this phase, economic and social institutions become more sophisticated and mature. There's increased political stability and social mobility.



Rostow's modernization Theory

Age of Mass Consumption:

At this point, societies have achieved high levels of economic development and modernization, with a focus on consumer-oriented lifestyles and high standards of living.

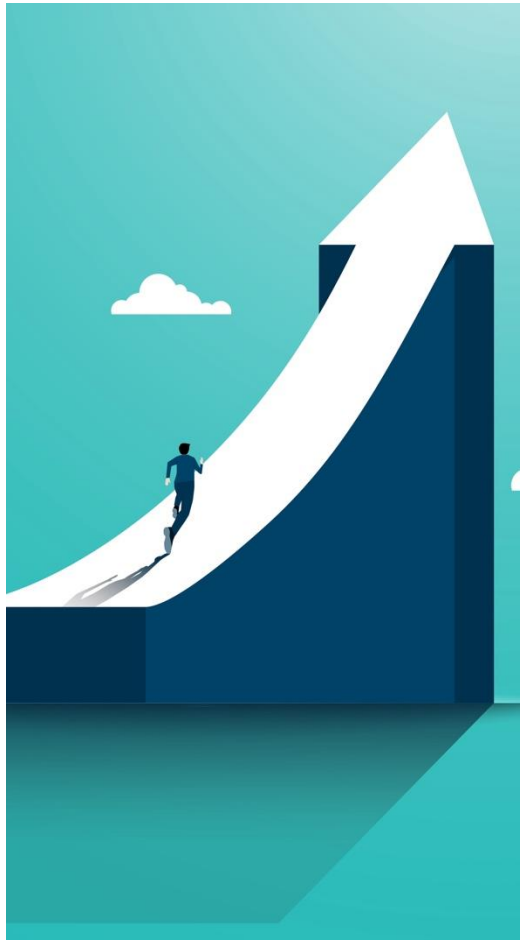
Rostow's Modernization Theory

Modernization theory emerged during the mid-20th century and suggests that societies go through a series of stages of development as they modernise and progress.

For Rostow and other modernization theorists, development is not just about one sector (like the economy) modernizing, but about multiple, mutually reinforcing areas of society modernizing together.

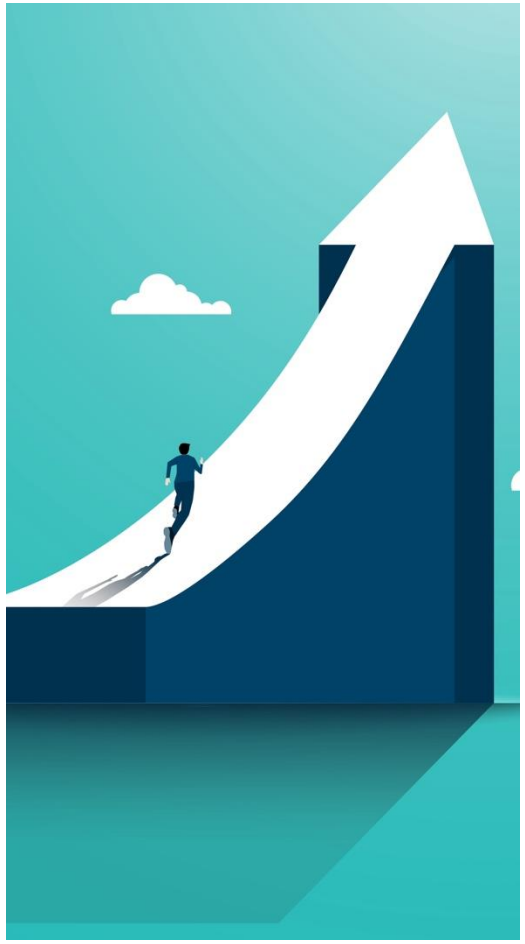
Paradigms	Who needs development?	How should it happen?	What is the importance?
modernization			
Dependency			
Neo-liberalism			
Developmental State			
Human development			
Sustainable development			
Post-development			

Any question?



If modernization theory argues that all societies naturally progress toward democracy and prosperity,

how do we explain the experiences of developing countries in the Global South, many of which remain poor and/or authoritarian?



Think–Pair–Share (with a neighbor)

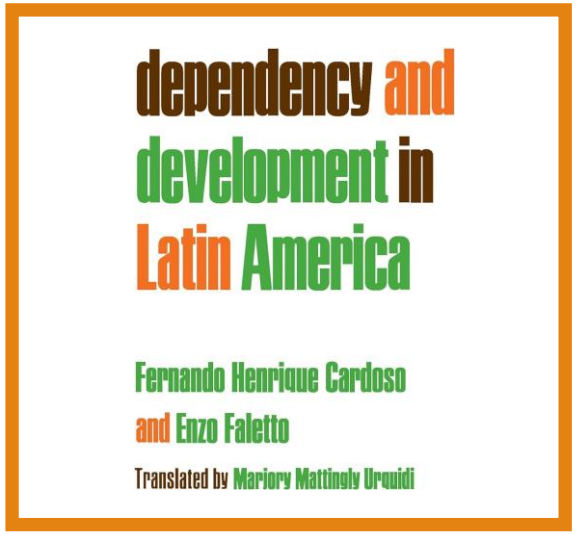
Each student: write down at least one possible explanation

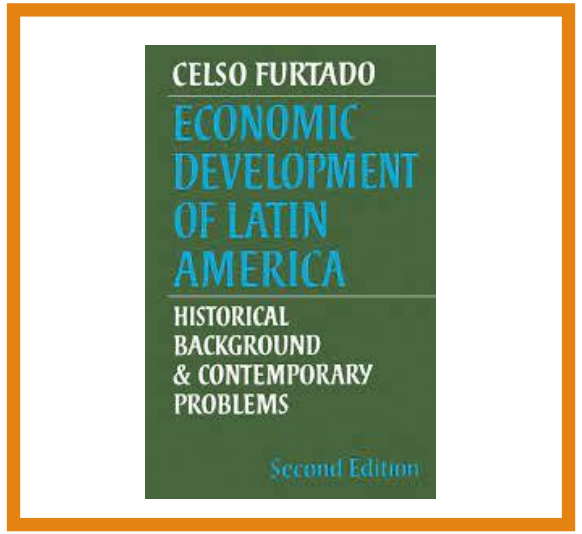
Do you agree or disagree with your partner's explanation? Why?

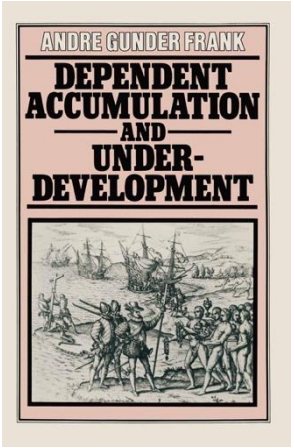

DEPENDENCY
THEORY

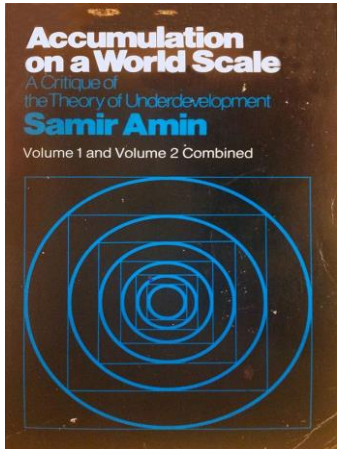
Dependency Theory: The Context

- Similar to modernization theory, dependency theory is a body of scholarship that has developed decades
- Dependency theory is often associated with a body of theories which was popular in the 60s and 70s
- "A situation in which the economy of certain countries is conditioned by the development and expansion of another" (Dos Santos 1970, 231).
- Focus on **exchange** than production
- The problem is how third world (or the developing countries, or the peripheries) is integrated into the global economy

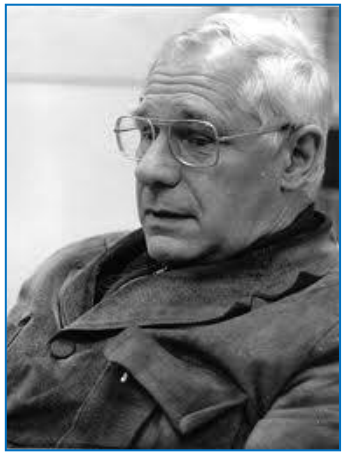








Dependency Theory: Andre Gunder Frank



Andre Gunder Frank

- Criticism on modernization theory: “contemporary underdevelopment is in large part the historical product of past and continuing economic and other relations between the satellite underdeveloped and the now developed metropolitan countries” (Frank 2010, 8).
- Dependency defined as a conditioning situation within a relational system
- Unequal Exchange: All trade is monopolist and controlled by the centre (or core) for its over benefit (source of control changes). Same systems work internally
- Import Substitution Industrialization (ISI): for peripheral countries to break dependency by producing manufactured goods domestically instead of relying on imports from the core.

Dependency Theory: Mechanisms for Making Underdevelopment

Colonialism

Primitive accumulation

Technological and financial dependency

Frank's Mechanism of Underdevelopment

Mexico

Colonial Mexico (satellite) fed wealth into Spain (metropole).

Within Mexico, mining regions were satellites drained by the capital (Mexico City).

Development in the 'center' (Europe, Mexico City elites) came at the expense of peripheral regions.

Mexico

Even after independence, Mexico exported cheap raw materials (silver, later oil, agricultural goods) and imported expensive manufactured goods from Europe and the U.S.

Despite independence, the structure of the economy (export-oriented, foreign-dependent, elite-controlled) reproduced dependency.

Additional resources: Why Is Latin America still Poor **(video)**

Imagine if Rostow and Frank walk into the same room…

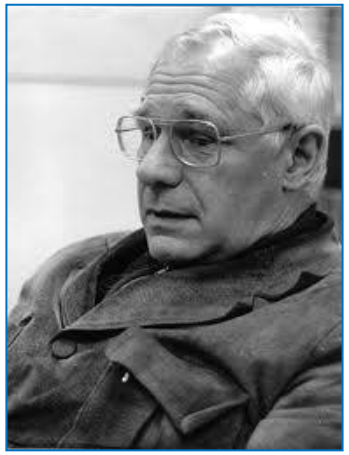
The Debate: Why Are Some Countries Underdeveloped?



Rostow

Underdevelopment is just an early stage of development. All countries move through the same stages. If some are still poor, it's because they haven't yet built the right system and infrastructure. With time, aid, and proper policies, they will ***catch up***.

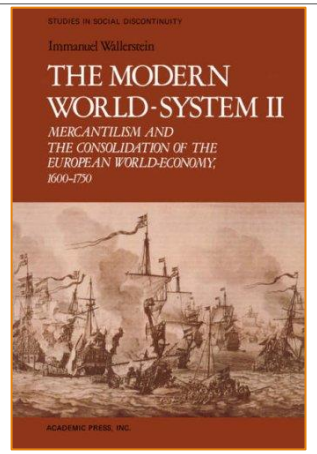
Poor countries are poor because rich countries made them poor, eg through colonialism, unequal trade, and dependency. They cannot simply 'catch up' by following your steps, because the system is ***structurally unfair*** to developing countries.



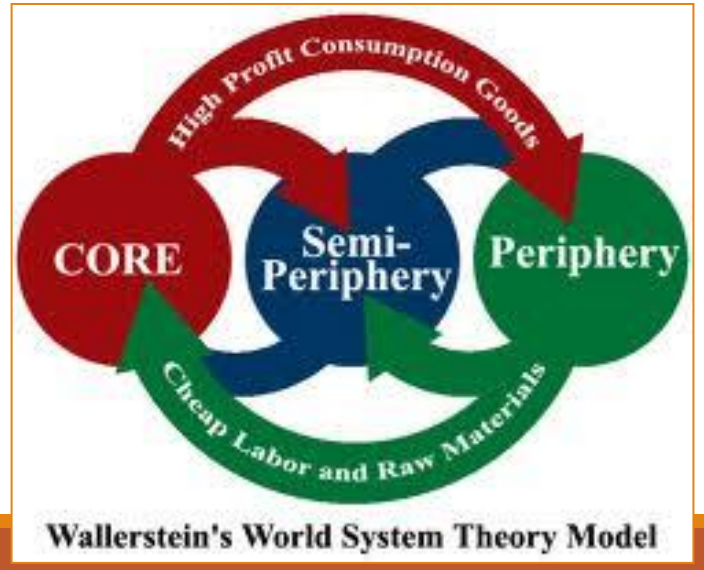
Frank

Dependency Theory: World Systems Theory

- Associated with Immanuel Wallerstein and Samir Amin
- Underdevelopment disguised as poverty or an earlier stage
- No Empire, no Third World but one capitalist world system
- Structural and systemic reading meant that progress for some meant regression for others
- But can capitalism be bypassed?







Paradigms	Who needs development?	How should it happen?	What is the importance?
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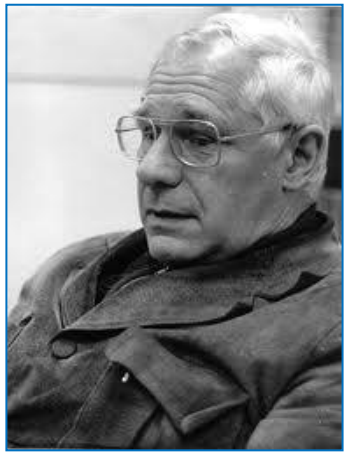
If a country has abundant natural resources, how likely is it to become rich?



Imagine if Rostow and Frank walk into the same room… again



Rostow



Frank

Any question?

Quiz 1 Tip

We have learnt what dependency theory is and how it explains underdevelopment. But is dependency theory still relevant for understanding development today?

Read **Kvangraven (2021)** and think about:

- Why has dependency theory been criticized or considered outdated?
- Why does Kvangraven argue that it is still relevant?
- What do the examples of **South Korea and Indonesia** tell us about the strengths and limitations of dependency theory?
- Can dependency theory help us understand development in today's global economy?

Conclusion

- The two paradigms had common ground in advocating for self-reliant national economic growth, employing dualistic frameworks, and addressing the unique challenges confronting countries in the ‘Third World’.
- They diverged in their interpretations of underdevelopment. modernization and dependency theorists held contrasting views on what underdevelopment meant.
- Additionally, they had differing perspectives on the methods of achieving development.

Week 3:
Neoliberalism and Developmental State

Essential Readings

Biebricher, T. (2018) 'Chapter 1' in *The Political Theory of Neoliberalism*. Stanford. Stanford University Press

Carmody, P. (2019) 'Chapter 5' in *Development Theory and Practice in a Changing World*. London. Taylor & Francis.

Supplementary Readings

Harvey, D. (2007) 'Neoliberalism as Creative Destruction', *Annals of the American Academy of Political and Social Science*, 610(1), pp. 22–44.

Wade, R.H. (2018) 'The Developmental State: Dead or Alive?', *Development and Change* 49 (2): 518–46.